Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Years ended December 31, 2005 and 2004

AUDITORS' REPORT TO THE SHAREHOLDERS

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2005 and 2004 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2005 and 2004 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.

Chartered Accountants



Toronto, Canada

February 21, 2006

CANADA BREAD COMPANY, LIMITED

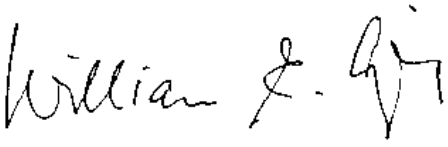
Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at December 31, 2005	2004
Assets		
Current Assets:		
Cash and cash equivalents	**$ 11,382**	$ 9,312
Accounts receivable (note 3)	**22,070**	24,148
Inventories (note 4)	**35,955**	33,504
Future tax asset - current (note 13)	**5,327**	5,193
Prepaid expenses	**2,142**	2,103
	76,876	74,260
Property and equipment (note 5)	**353,669**	354,128
Goodwill	**314,949**	324,237
Other long-term assets	**1,252**	3,386
Future tax asset - non-current (note 13)	**8,669**	5,465
Other intangibles	**5,948**	6,167
	$ 761,363	$ 767,643
Liabilities and Shareholders' Equity		
Current Liabilities:		
Accounts payable and accrued charges	**$ 136,385**	$ 145,784
Due to Maple Leaf Foods Inc.	**4,736**	140
Dividends payable	**1,525**	1,525
Income and other taxes payable	**22,624**	26,501
Current portion of long-term debt (note 6)	**226**	91,482
	165,496	265,432
Long-term debt (note 6)	**32,083**	344
Future tax liability (note 13)	**23,303**	21,780
Other long-term liabilities (note 8)	**5,749**	3,626
Shareholders' equity (note 9)	**534,732**	476,461
	$ 761,363	$ 767,643

Contingencies and commitments (note 17)
See accompanying notes to consolidated financial statements

On behalf of the Board:





Richard A. Lan
Director

William E. Aziz
Director

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

	Years ended December 31, 2005	2004
Sales	**$ 1,346,481**	$ 1,318,865
Earnings from operations before restructuring costs	**$ 111,072**	$ 98,970
Restructuring costs (note 10)	**(4,723)**	–
Earnings from operations	**106,349**	98,970
Other income (expense) (note 11)	**1,868**	125
Earnings before interest and income taxes	**108,217**	99,095
Interest expense (note 12)	**5,386**	6,837
Earnings before income taxes	**102,831**	92,258
Income taxes (note 13)	**27,909**	25,610
Net earnings	**$ 74,922**	$ 66,648
Earnings per share – basic (note 18)	**$ 2.95**	$ 2.62
Earnings per share – diluted (note 18)	**$ 2.93**	$ 2.57
Weighted average number of shares (millions)	**25.4**	25.4

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

	Years ended December 31, 2005	2004
Retained earnings, beginning of year	**$ 337,827**	$ 277,279
Net earnings	**74,922**	66,648
Dividends declared $0.24 per share; 2004 - $0.24 per share)	**(6,100)**	(6,100)
Retained earnings, end of year	**$ 406,649**	$ 337,827

See accompanying notes to consolidated financial statements

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

	Years ended December 31, 2005	2004
Cash Provided By (Used In):		
Operating Activities		
Net earnings	**$ 74,922**	$ 66,648
Add (deduct) items not affecting cash:		
Depreciation	**44,351**	42,288
Future income taxes	**(1,814)**	(12,101)
(Gain)/loss on sale of property and equipment	**(1,695)**	19
Other	**(428)**	3,360
Change in non-cash operating working capital	**(3,590)**	42,518
	111,746	142,732
Financing Activities		
Dividends paid	**(6,100)**	(6,100)
Increase in long-term debt	**38,300**	13,779
Decrease in long-term debt	**(92,539)**	(78,748)
	(60,339)	(71,069)
Investing Activities		
Additions to property and equipment	**(54,730)**	(69,622)
Proceeds from sale of property and equipment	**5,585**	1,051
Purchase of net assets of business, net of cash acquired (note 16)	**–**	(5,894)
Change in intangible assets	**(192)**	586
	(49,337)	(73,879)
Increase/(decrease) in cash and cash equivalents	**2,070**	(2,216)
Cash and cash equivalents, beginning of year	**9,312**	11,528
Cash and cash equivalents, end of year	**$ 11,382**	$ 9,312
Supplemental cash flow information:		
Net interest paid	**$ 5,890**	$ 6,557
Net income taxes paid	**33,176**	15,602

See accompanying notes to consolidated financial statements

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company. The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(a) Principles of consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Variable Interest Entities ("VIE's"), as defined by Accounting Guideline 15 – "Consolidation of Variable Interest Entities" (AcG-15), are consolidated by the Company when it is determined that the Company will, as the primary beneficiary, absorb the majority of the VIE's expected losses and/or expected residual returns.

(b) Translation of foreign currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries, whose unit of measure is not the Canadian dollar, are translated into Canadian dollars using the exchange rate in effect at the year-end for assets and liabilities and the average exchange rates for the period for revenue and expenses. Exchange gains or losses on translation of foreign subsidiaries are deferred and included as a separate component in shareholders' equity until realized.

(c) Hedging arrangements

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The Company uses hedge accounting to record for these derivative transactions.

The Company formally documents all relationships between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedged transactions. This process includes assigning all derivatives to specific assets and liabilities on the balance sheet or to specific firm commitments or anticipated transactions. The Company formally assesses, using regression analysis, both at the inception of the hedge and on a quarterly basis, whether the derivatives that are used in hedging transactions are effective in offsetting the changes in the fair values or the cash flows of hedged items.

The Company uses currency forward contracts and options to hedge its exposures to transactions denominated in foreign currencies. The Company also uses futures and options to hedge its exposures to commodity based transactions (wheat and grain purchases). When the criteria for hedge effectiveness is met, the gains and losses on the currency and/or commodity hedging instruments are recognized in the consolidated financial statements in the same period as the underlying transaction is recorded in net earnings. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively. When hedge effectiveness is not met, the Company records the fair value of the hedging items as other liabilities or assets on the balance sheet. Any resulting gains or losses are recorded in operating earnings. Where the Company enters into forward exchange contracts to hedge the principal and/or interest on related debt payable in foreign currencies, unrealized losses or gains on such contracts are matched with exchange gains or losses on the debt and/or interest payable.

The Company enters into interest rate and foreign exchange swaps to reduce the impact of fluctuating interest rates and exchange rates on short-term and long-term debt. The Company designates its interest rate hedge agreements and foreign exchange swaps relating to debt as hedges of the underlying debt. The interest rate swap agreements involve the periodic exchange of payments without the exchange of the notional principal amount upon which the payments are based. Interest expense on the debt is adjusted to include the payments made or received on the interest rate swaps. The related amount payable to or receivable from counterparties is included as an adjustment to accrued interest. Any exchange gain or loss arising on the designated borrowings is offset against the unrealized exchange gain or loss arising on translation of the foreign exchange component of the swaps. The liability for the foreign exchange component of the swap is included in other liabilities.

The Company designates its cross currency swap as a hedge of its net investment in its U.S. based businesses. Any exchange gain or loss on its cross currency swap is offset against the unrealized exchange gain or loss arising on translation of the U.S. dollar financial statements of these businesses and is included in the unrealized foreign currency adjustment account in shareholders' equity.

Realized and unrealized gains or losses associated with derivative instruments that have been terminated or cease to be effective prior to maturity are recorded as deferred liabilities or assets on the balance sheet and recognized in income in the period in which the underlying hedged transaction is recognized. In the event the designated hedged item is sold, extinguished or matures prior to the termination of the related derivative instrument, any unrealized gain or loss on such derivative instrument is recognized immediately in income.

(d) Revenue recognition

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as cost of sales. Sales incentives include various rebate and promotional programs with the Company's customers, primarily rebates based on achievement of specified volume or growth in volume levels.

(e) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(f) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2½% to 5%
Machinery and equipment	10% to 33%

(g) Deferred financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and are included in interest expense for the year.

(h) Goodwill and other intangibles

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the identifiable tangible and intangible assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands and delivery routes. Definite life intangibles are amortized over their estimated useful life. Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the fair value of the reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value.

(i) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(j) Employee benefit plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight line basis over the expected average remaining service period of the

active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(k) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(l) Accounting changes

(i) Convertible debentures

Effective January 1, 2005, the Company adopted the amendment to Canadian accounting principles, section 3860 – "Financial Instruments – Disclosure and Presentation" on a retroactive basis with restatement of prior periods. The revised standard, which is effective for 2005, requires obligations of a fixed amount that may be settled, at the issuer's option, by a variable number of the issuer's own equity instruments to be presented as liabilities. As a result of adopting the revised standard, the Company retroactively reclassified $20 million of convertible debt as a liability on the balance sheet. The Company had previously included the $20 million related to a debt facility with Maple Leaf in equity, due to the fact that it can be settled, at the option of Canada Bread, in common shares. There was no impact on net earnings, basic or diluted earnings per share for prior periods as a result of adopting this change retroactively.

(ii) Accounting by a vendor for consideration given to a customer

Effective January 1, 2006 the company adopted the provisions of EIC Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer (including a reseller of the vendor's products)". The new guidance requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive, an identifiable benefit in exchange for the consideration. The impact of the adoption of this standard on the results for the year ended December 31, 2005 would be a reduction in sales of approximately $120 million (2004 - $112 million). There will be no impact on earnings from operations or earnings per share.

(iii) Variable interest entities

The Company adopted the guidance in Accounting Guideline 15, "Consolidation of Variable Interest Entities" retroactively without restatement of prior periods, effective January 1, 2005. This guideline addresses the consolidation of variable interest entities, which are entities that have insufficient equity and/or their equity investors lack one or more specified essential characteristics of a controlling financial interest. The guideline also provides guidance for determining who, if anyone, should consolidate the variable interest entity. The adoption of this guideline did not have a material impact on the Company.

(m) Comparative figures

Certain 2004 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2005.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2005, trade accounts receivable amounting to $70 million (2004 - $70 million) had been sold under these programs.

4. INVENTORIES

	2005	2004
Material held for production	**$ 25,104**	$ 22,539
Finished products	**10,851**	10,965
	$ 35,955	$ 33,504

5. PROPERTY AND EQUIPMENT

	2005	2004
Land	**$ 24,914**	$ 27,663
Buildings	**133,257**	130,113
Machinery and equipment	**415,362**	393,578
Construction in progress	**40,096**	49,869
	613,629	601,223
Less: Accumulated depreciation	**259,960**	247,095
	$ 353,669	$ 354,128

6. LONG-TERM DEBT

	2005	2004
Due to Maple Leaf (a)	**$ 32,029**	$ 90,850
Other	**–**	562
Obligations under capital leases	**280**	414
	32,309	91,826
Less: Current portion	**226**	91,482
	$ 32,083	$ 344

(a) On October 26, 2005, the Company reached an agreement with Maple Leaf to amend its revolving credit agreement. Under the new financing arrangement, the term of the facility was extended for three years and now matures on December 27, 2008. To provide additional liquidity, the principal amount of the facility was increased from $169 million to $250 million and the borrowing rate reduced to reflect lower market credit spreads consistent with current market trends. The facility bears interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar loans.

At December 31, 2005, a total of $88.4 million (2004 - $141.9 million) was drawn. Netted against this amount is a $56.4 million (2004 - $51.1 million) receivable related to the Company's five-year cross-currency swap with Maple Leaf (note 7). The swap has a current unrealized gain of $63.0 million, of which $56.4 million represents the portion of the gain related to currency translation that must be recorded on the balance sheet. Under the terms of the debt facility, each party has the legal right to set off any amounts owed by it to the other

party against any amounts receivable from the other party. Accordingly, the currency gain has been recorded as a reduction of long-term debt.

Under the previous facility, Canada Bread had the option to repay up to $20 million of debt outstanding in common shares. This option is no longer available under the amended facility.

Net interest paid to Maple Leaf under these facilities was $2.9 million in 2005 (2004 - $2.0 million).

(b) In 2001, Canada Bread established a debt facility with a syndicate of banks to finance the acquisition of Multi-Marques Inc. and to provide liquidity for general corporate purposes. The facility matured in July 2005. Consequently, as of December 31, 2005, no amounts are outstanding (2004 – the available facility amount was $58.5 million, of which $7.9 million was utilized in respect of letters of credit).

(c) The Company has undrawn demand operating facilities of $21.7 million (2004 - $22.0 million), and letter of credit facilities of $10 million, which bear interest at short-term rates. At December 31, 2005, $8.1 million was utilized under these facilities of which the full amount was in respect of letters of credit.

The Company's blended average effective cost of borrowing for 2005 was 3.4% (2004 – 2.7%), after adjusting for payments made under swap contracts in place in 2005 (see note 7).

Required repayments of long-term debt are as follows:

2006	$ 226
2007	54
2008	32,029
Thereafter	–
	$ 32,309

7. DERIVATIVE FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

In the ordinary course of business, the Company has entered into derivative financial instruments with Maple Leaf Foods as its counterparty to reduce underlying risks associated with foreign currency and interest rates.

Foreign currency risk management

The Company uses foreign currency forward contracts and options to manage its currency exposures. The currency exposure relates primarily to U.S. dollar-denominated export sales and U.S. dollar linked commodities, primarily flour.

At December 31, 2005, the Company had outstanding commitments to buy US$0.6 million (2004 - US$0.9 million) at an average rate of 1.2096. At that date, if the Company had decided to terminate these commitments at prevailing market rates, it would have incurred a loss of $0.1 million (2004 - gain of $0.1 million).

Interest rate risk management

The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2005, the Company had entered into interest rate swap contracts with Maple Leaf, having an aggregate notional amount of $130.0 million (2004 - $150.0 million) and maturity dates ranging from June 28, 2007 to June 28, 2014. The fixed rates payable by the Company under these contracts range from 4.0% to 5.4%. The floating rates are based on the three-month bankers' acceptance rate.

Based on market values at December 31, 2005, the Company would have realized a loss of $4.5 million (2004 - loss of $5.4 million) if it terminated the above-noted swap agreements.

In 2003, the Company entered into a five year cross-currency swap with Maple Leaf to hedge U.S. dollar-denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on US$140.0 million and receive interest of 4.45% per annum on CAD$219.6 million. Based on market values as at December 31, 2005, the Company would have realized a gain of $63.0 million if it terminated the above-noted swap agreement. Since this instrument was designated to hedge the currency translation on the Company's U.S. dollar-denominated assets, the portion of the gain related to currency translation ($56.4 million) has been recorded in the cumulative translation account. This amount has also been recorded as a reduction of long-term debt (Note 6).

Commodity price risk management

The Company uses a variety of third party derivative instruments to manage its exposure to commodity price fluctuations. Based on market values at December 31, 2005, the Company would have realized a gain of $2.0 million (2004 - loss of $1.3 million) to terminate these outstanding contracts.

Fair values of financial assets and liabilities

Fair values of cash and cash equivalents, accounts receivable, accounts payable and accrued charges, and the current portion of long-term debt approximate their carrying values due to their short-term nature. The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

8. OTHER LONG-TERM LIABILITIES

	2005	2004
Post-retirement benefit liability	**$ 3,231**	$ 1,948
Other	**2,518**	1,678
	$ 5,749	$ 3,626

9. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2005	2004
Share capital (25,416,812 common shares (2004 - 25,416,812 common shares))	**$ 142,965**	$ 142,965
Retained earnings	**406,649**	337,827
Unrealized foreign currency adjustment	**(14,882)**	(4,331)
	$ 534,732	$ 476,461

The authorized share capital of the Company consists of an unlimited number of common shares.

10. RESTRUCTURING COSTS

	Asset write-offs	Other	Total
Restructuring cost during the period	$ 3,348	$ 1,375	$ 4,723
Usage	(3,348)	(728)	(4,076)
Balance at December 31, 2005	$ –	$ 647	$ 647

During the first quarter of 2005, the Company recorded $4.7 million in restructuring costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf. Included in the $4.7 million were provisions of $1.4 million relating to employee terminations, facility exit costs and other restructuring costs. Of the $1.4 million in provisions, $0.7 million was paid in 2005.

During 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million after-tax) relating to plant closures and operational restructuring. Included in the $7.4 million were provisions of $6.1 million relating to employee terminations, facility exit costs, and other restructuring costs. Of the $6.1 million in provisions, $0.7 million was paid in 2005 (2004 - $1.9 million) and $0.2 million was returned to earnings leaving a balance of $nil at December 31, 2005.

11. OTHER INCOME (EXPENSE)

	2005	**2004**
Gain/(loss) on sale of property and equipment	**$ 1,695**	$ (19)
Other	**173**	144
	$ 1,868	$ 125

12. INTEREST EXPENSE

	2005	**2004**
Interest expense on long-term debt	**$ 3,452**	$ 3,041
Other net interest expense (income)	**1,934**	3,796
	$ 5,386	$ 6,837

13. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income taxes rate as a result of the following:

	2005	2004
Income tax expense according to combined statutory rate of 33.8% (2004 – 33.8%)	**$ 34,770**	$ 31,202
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	**(862)**	(668)
Rate difference in foreign jurisdictions	**(3,897)**	(4,342)
Non-taxable gains	**204**	(27)
Large Corporations Tax	**66**	184
Other	**(2,372)**	(739)
	$ 27,909	$ 25,610

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2005	2004
Future tax assets:		
Accrued assets	**$ 2,112**	$ 940
Loss carry forward	**20,504**	16,913
Other	**3,515**	3,148
	$ 26,131	$ 21,001
Future tax liabilities:		
Plant and equipment - differences in net book value and undepreciated capital cost	**$ 27,731**	$ 23,859
Other	**7,707**	8,264
	$ 35,438	$ 32,123
Classified in the consolidated financial statements as:		
Future tax asset - current	**$ 5,327**	$ 5,193
Future tax asset - non-current	**8,669**	5,465
Future tax liability - non-current	**(23,303)**	(21,780)
Net future tax liability	**$ (9,307)**	$ (11,122)

14. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows:

	2005	2004
Accrued benefit obligation:		
Balance, beginning of year	**$ 108,856**	$ 104,599
Current service cost	**2,982**	2,560
Interest cost	**6,253**	6,004
Benefits paid	**(7,355)**	(7,875)
Actuarial losses	**12,427**	2,596
Employee contributions	**936**	972
Balance, end of year	**$ 124,099**	$ 108,856
Plan assets:		
Fair value, beginning of year	**$ 93,397**	$ 90,376
Actual return on plan assets	**12,173**	7,465
Employer contributions	**1,881**	2,616
Employee contributions	**936**	972
Benefits paid	**(7,355)**	(7,875)
Asset transfer to Company defined contribution plan	**-**	(157)
Fair value, end of year	**$ 101,032**	$ 93,397
Funded status - plan surplus (deficit)	**$ (23,067)**	$ (15,459)
Unamortized transitional amount	**(7,447)**	(8,225)
Unamortized actuarial losses	**29,849**	23,619
Unamortized prior service cost	**1,025**	1,124
Accrued benefit asset	**$ 360**	$ 1,059

The accrued benefit asset is included in Other Assets on the balance sheet.

The pension assets are invested in the following asset categories at December 31, 2005 and December 31, 2004.

	2005	2004
Equity securities	**72%**	62%
Debt securities	**28%**	38%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2005	2004
Discount rate used to calculate net benefit plan expense	**5.75%**	6.00%
Discount rates used to calculate year-end accrued benefit obligation	**5.00%**	5.75%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**4.00%**	4.00%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2005	2004
Current service cost - defined contribution plans	**$ 6,832**	$ 6,186
Current service cost - defined benefit plans	**2,982**	2,560
Interest cost	**6,253**	6,004
Actual return on plan assets	**(12,173)**	(7,465)
Difference between actual and expected return on assets	**5,325**	882
Actuarial loss recognized	**12,427**	6,013
Difference between actual and recognized actuarial gains (losses) in the year	**(11,555)**	(5,325)
Amortization of transitional obligation	**(778)**	(778)
Amortization of prior service cost	**96**	96
Net benefit plan expense	**$ 9,409**	$ 8,173

A 1% change in health care cost trend would not have significant impact on the year-end obligation or the 2005 current service cost and interest costs.

Measurement dates for defined benefit plan obligations and expense:

2005 Expense	December 31, 2004
Balance Sheet	December 31, 2005

In addition, the Company has accrued and included in other long-term liabilities $3.2 million (2004 - $1.9 million) in respect of post-retirement benefit obligations.

15. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $8.2 million (2004 - $7.0 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $5.7 million (2004 - $4.6 million).

The Company received certain engineering services from Maple Leaf for a cost of $1.2 million (2004 - $1.3 million).

16. ACQUISITIONS

In 2002, the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia, a manufacturer of premium value-added fresh bakery products. The initial purchase price was $11.5 million with additional consideration of up to $10.2 million payable until February 28, 2004, depending on the attainment of certain financial targets. A payment of $3.2 million was made in 2003 and the Company made a final $5.9 million payment related to this purchase in 2004. A portion of this payment had been previously accrued and, as a result, only $1.6 million of this payment resulted in an increase to goodwill in 2004.

Of the total purchase price, $1.1 million had been withheld in escrow pending final settlement with the vendors. During 2005, upon final settlement, the Company received $0.7 million from escrow which was recorded as a decrease in goodwill.

The following table provides details of the activity in the accrued restructuring liabilities associated with acquired businesses since 2002:

	Employee termination costs	Other exit costs	Total
Balance at January 1, 2005	$ 972	$ 4,266	$ 5,238
Returned to goodwill	–	(500)	(500)
Cash payments	(9)	(819)	(828)
Transferred	(22)	–	(22)
Balance at December 31, 2005	$ 941	$ 2,947	$ 3,888

17. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $12.3 million (2004 - $13.4 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2006	$ 13,459
2007	10,250
2008	7,501
2009	4,226
2010	2,652
Thereafter	5,114
	$ 43,202

18. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

	2005	2004
Numerator:		
Net earnings	**$ 74,922**	$ 66,648
Interest on convertible debt (note 6(a))	**398**	376
Earnings available to common shareholders	**$ 75,320**	$ 67,024
Denominator:		
Weighted average common shares outstanding (in thousands)	**25,417**	25,417
Effect of dilutive securities (in thousands):		
Convertible debt	**326**	628
Weighted average shares – diluted (in thousands)	**25,743**	26,045

	2005	2004
Earnings per share:		
Basic	**$ 2.95**	$ 2.62
Diluted	**2.93**	2.57

19. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and UK frozen bakery products including frozen par-baked and specialty bakery products.

The presentation of segmented financial information for the current year has been prepared using the same accounting policies as were applied in the presentation for December 31, 2004, except that the disclosed amounts of segmented total assets has been revised to reflect the securization of accounts receivable attributable to each segment.

	2005	2004
Sales to customers		
Fresh bakery	**$ 951,885**	$ 929,476
Frozen bakery	**394,596**	389,389
	$1,346,481	$ 1,318,865
Earnings from operations, before restructuring costs		
Fresh bakery	**$ 81,965**	$ 67,214
Frozen bakery	**29,107**	31,756
	$ 111,072	$ 98,970
Capital expenditures		
Fresh bakery	**$ 29,814**	$ 31,315
Frozen bakery	**24,916**	38,307
	$ 54,730	$ 69,622
Depreciation and amortization		
Fresh bakery	**$ 22,907**	$ 22,096
Frozen bakery	**21,444**	20,192
	$ 44,351	$ 42,288
Total assets		
Fresh bakery	**$ 360,842**	$ 354,972
Frozen bakery	**351,737**	348,196
Non-allocated assets	**48,784**	64,475
	$ 761,363	$ 767,643